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Impacts of the delay in construction of a large scale hydropower project on potential displacees

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ABSTRACT

Literature on impact assessment and involuntary displacement mostly explains the impacts that might occur or have occurred on the local communities during and after involuntary displacement induced by development projects. However, there is only very limited research that considers the impacts local communities experience during the pre-implementation phase of the project. Our research attempts to highlight the impacts caused by large-scale projects trapped in a long pre-implementation phase and it seeks to explain the factors that intensify the impacts on affected communities. The research is based on a case study analysis of the West Seti Hydropower Project, a proposed dam in Far-Western Nepal. We argue that an adequate understanding of the impacts that occur during the pre-implementation phase of large-scale development projects is crucial to addressing problems related to displacement and resettlement. Since most of the problems of involuntary displacement begin during the pre-implementation phase, if this phase is not properly understood and its issues addressed, there will be long-term impacts on people, community and overall development processes.

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1. Introduction

Involuntary displacement induced by dam projects increased tremendously in the post-Second World War era with the incremental growth in the construction of infrastructure all around the world (Dwivedi 2002). The construction of dam projects has contributed to the achievement of the development goals set by the governments of many countries, generating profits for project developers and improving the standard of living for many people (Burt & Watts 1996; WCD 2000). However, these projects have also worsened the living conditions of a significant number of people, especially those living in the immediate vicinity of a project. Furthermore, the construction of such projects has often adversely affected the environmental, social and economic well-being of downstream, upstream and host communities (Gutman 1994; Cernea 1996). As a result, millions of people have been forced to move from their homes, and have encountered various types of risks significantly reducing their living standards (Cernea 2000). The activism by affected communities, civil society and other interest groups in some countries was one of the factors that pressured key funders – such as the World Bank, the International Finance Corporation (IFC), the Asian Development Bank (ADB)

and the Organization for Economic Cooperation and Development – to introduce safeguard policies, and performance standards, and require countries to use impact assessment to mitigate the consequences of development-induced displacement and resettlement (Clark et al. 2003; Vanclay 2017).

The use of impact assessment has helped greatly by identifying the potential impacts of the projects on the local communities and environment, and by providing decision-makers with strategies to avoid or mitigate the impacts associated with dam development (Vanclay et al. 2015). However, we argue that the research on impact assessment in relation to dam development has largely overlooked the impacts that occur during the pre-implementation phase. Indeed, the literature overwhelmingly focuses on the impacts of the implementation and post-implementation phases; that is, the phases during and after the displacement and resettlement of displacees (Cernea 1994; Sims 2001; Scudder 2006). Therefore, our objective is to explore the impacts on local communities during the pre-implementation phase of hydropower projects, particularly where those projects have a long gestation period. We do so by investigating the experiences of local people living in the project area of the proposed 750 MW West Seti Hydropower

Project (WSHP) in the Far-Western region of Nepal. We highlight the impacts that local communities and civil society believe have been caused by the long gestation period of the project and we explain the factors that have intensified these impacts for the affected people living in the project area during the pre-implementation phase.

2. Impact assessment and involuntary displacement

Various impact assessment tools have been developed to provide decision-makers with an indication of the likely impacts of major projects and to assist them in identifying appropriate measures to avoid or mitigate the adverse effects of proposed projects on local communities and the environment (Vanclay 2002; Jay et al. 2007). Environmental impact assessment (EIA) was introduced in the USA with the National Environmental Policy Act 1970 to ensure that, along with economic and technical matters, the environment was taken into consideration in decision-making relating to development proposals (Morrison-Saunders & Fischer 2006). Since then, impact assessment has been widely adopted around the world as a decision-support tool and its scope has expanded to encompass the identification, prediction, evaluation and management of the biophysical, social, economic, health and other effects likely to occur from any proposed development projects (Sadler et al. 2000). Particular forms of impact assessment are used to assess the effects of major projects on communities, including social impact assessment (SIA), health impact assessment and increasingly human rights impact assessment (Esteves et al. 2012; Morgan 2012; Kemp & Vanclay 2013; Götzmann et al. 2016).

A range of safeguard policies, standards and protocols have been developed by the major multilateral and bilateral funding agencies, the best known being those of the World Bank and IFC. These provide the operational framework within which impact assessment is used to anticipate changes and inform project design, subsequent decision-making and impact management plans. The environmental and social impacts of dam development are now well recognized (Scudder 2006; Tilt et al. 2009) and there are well developed guidelines on how to address these issues in impact assessment studies (World Bank 1999; IFC 2012). However, the social impacts of dam projects continue to cause concern, especially the impacts that arise from the resettlement and displacement that dams cause. A 2014 symposium of the International Association for Impact Assessment on 'Resettlement and Livelihoods' (Smyth et al. 2015), which brought together practitioners, civil society, communities, industry and government, identified a wide range of concerns about resettlement practices associated with major projects, including the need to involve local people as early as possible in project planning and

decision-making. However, the discussions in this symposium tended to focus on the implementation and post-implementation phases. Similarly, the various safeguard policies and sectoral guidelines also tend to focus on the impacts of projects from the construction phase onwards. This epitomizes the extent to which the social impacts experienced by local people during the planning and decision-making phases are not widely appreciated or considered. Some literature has attempted to examine the health impacts on local communities that may occur during pre-implementation phase of the project. Hwang et al. (2007), for example, examined the psychological impacts on potential displacees prior to their displacement. An IFC (2009) guidance document discusses the impacts that arise from the influx of people into project areas. Other than these examples, there does not appear to be many published assessments of the impacts likely to be experienced by local communities during the pre-implementation phase of a project.

Much the same can be said of research into involuntary displacement. Michael Cernea, a sociologist who has been influential in shaping policies on involuntary displacement inside and outside the World Bank (Dwivedi 2002; Scudder 2006), has developed a widely used framework, the impoverishment risks and reconstruction (IRR) model (Cernea 1997). The IRR model focuses on the risks that lead to impoverishment during involuntary displacement, as well as the actions that could help overcome the impacts (Cernea 2000). However, the model does not address the factors that may arise during the pre-implementation phase that can further contribute in the impoverishment of affectees (see Smyth and Vanclay 2017).

Perhaps the best published example of the analysis of the pre-implementation phase can be found in the work of Scudder and Colson (1982). In their five-stage framework, they proposed for successful resettlement practices, the first two stages describe the phase prior to displacement. However, as the focus of their study was on the resettlement process itself, there was not much analysis of the effects displacees experienced during these initial stages. Further, the case they investigated had a very short pre-implementation phase, hence could not reflect the impacts that occur when a project has a long gestation period (Scudder 1993). Similarly, the World Commission on Dams (WCD 2000) report also suggested measures to be incorporated during the planning phase of the project. However, the focus of the WCD report was more on incorporating the affectees in the planning phases and involving them as an important stakeholder group during the entire process of project implementation (WCD 2000). In sum, the impacts of the pre-implementation phase of large-scale projects, especially those with a long gestation period, on local communities have not received much attention in the research literature. Our research is an attempt to

address that gap by investigating a case study, the WSHP in Nepal, which exemplifies many of the issues associated with projects that have an extended duration, and especially a long planning and decision-making phase.

3. WSHP: background information

WSHP is a proposed storage project in the far western part of Nepal. It was designed to generate 750 MW of electricity by storing excess water that flows into the Seti River during the wet season. The locality is in the middle mountainous area of Nepal and ranges in elevation from 550 to 920 m above sea level. The project components, such as reservoirs, the dam site, and the project site, are planned to be located across four districts: Bajhang, Baitadi, Doti, and Dadeldhura (WSHL 2007).

The project was initially planned with the objective of exporting electricity to India (Rai 2012). The Government of Nepal (GoN) signed a Memorandum of Understanding for the construction of WSHP with the Snowy Mountains Engineering Corporation (SMEC) in July 1994. The ADB approved the EIA and provided project financing.

According to the EIA report prepared by West Seti Hydropower Limited (WSHL), the national organization established by SMEC to implement WSHP, the project activities would affect parts of 20 Village Development Committees (VDCs) in these 4 districts, 10 located in Doti, 5 in Bajhang, 4 in Baitadi and 1 in Dadeldhura district. In addition, 5 VDCs will be affected by the downstream project activities and one VDC by both downstream and upstream project activities. The construction of reservoirs will submerge parts of 15 VDCs across the 4 affected districts. In the resettlement planning conducted by the WSHL in 2006, it was estimated that about 1,190 households would be displaced. The report also indicated that the construction of transmission lines will displace a further 296 households (WSHL 2008). WSHL also conducted a study for resettlement but could not come up with a firm decision on compensation, resettlement and rehabilitation packages.

Between 1994 and 2010, the project was consistently opposed by the public at local and national levels, primarily for ignoring constitutional provisions, agreeing on an electricity sharing deal that was seen to benefit India rather than Nepal, and ignoring the social and environmental impacts of the project (Shrestha 2009). Local people and anti-dam activists also claimed that the EIA and resettlement planning document was not conducted according to the requirements of the ADB. The local activism was strongly supported by international interest groups working on similar issues (Petheram 2011). In the end, SMEC was not able to finalize the power purchasing deal with India. Hence, the ADB withdrew from the project in 2010 (Hill 2013).

In July 2011, the GoN cancelled SMEC's license and handed the project to the China Three Georges Company

(CTGC) with new terms and conditions. The project was to go ahead, but with the power to be used for domestic consumption. The Nepal Electricity Authority would buy up to 25 per cent of the shares in the project, the China International Water & Electric Corporation (CWE), the sister organization of CTGC, would finance 75% of the shares and local communities would be allocated 2–5% of the shares from the CTGC's shares (Rai 2012). The Nepal Investment Board (NIB) was authorized by the GoN to facilitate CWE in the entire implementation process. The construction work was set to commence in 2014 and was expected to be completed by 2019 (Govt, China company ink West Seti MoU 2012). However, CWE is still conducting preliminary research and is yet to conduct and finalize compensation, resettlement and rehabilitation plans.

The project dynamics changed after the entry of CTGC. There is currently no significant opposition from the affectees, or local and national interest groups, as they are waiting to find out what CWE will offer to the local communities. Thus, the gestation period of the project has been repeatedly extended, which prompted this study on how these delays have affected local people.

4. Existing laws and policies on involuntary displacement in Nepal

The Land Acquisition Act 1977 (LAA 1977) is the legal instrument for acquiring land from people for development purposes, including construction of hydropower and irrigation projects. According to the Act, the GoN may acquire any land at any place if it considers the land necessary for any public purpose, by giving cash compensation to the property owner (GoN 1977). Since the Act is entirely focused on land acquisition and compensation, it does not adequately consider the social, economic, cultural and environmental implications for the affectees prior to, during and after displacement.

In 1997, the government introduced Environment Protection Rules and made EIAs mandatory for projects that may create adverse environmental and social impacts (Bhattarai 2001). The government also introduced the Local Self Governance Act 1999 and emphasized the decentralization of development activities to the local level and the participation of men, women, Indigenous groups and the disadvantaged, as well as socially and economically disadvantaged groups, in all stages of development projects (GoN 1999). In addition, the government reformulated the Hydropower Development Policy in 2000 and formulated a Water Resources Strategy 2002 and a National Water Plan 2005 (GoN 2005, 2001). However, these documents do not address the issues related to land acquisition, compensation, resettlement and rehabilitation of the affectees of the water projects.

5. Methods

In trying to understand the pre-implementation impacts of the WSHP, we adopted a qualitative research method and employed an interpretive approach to analyse the primary and secondary data collected during the field visit. We selected a single case study method to thoroughly explore the experiences and impacts of the project for the residents in the area that is proposed to be inundated. In order to understand the perspective of people residing in different parts of the project area, the first author conducted research in two locations that have very different geographical and socio-economic characteristics – a town that serves as the marketplace and a more remote settlement. For the marketplace, field-research was conducted in Deura, a small centre in Rayal VDC that lies in the Bajhang district. The remote area selected was Babina, an isolated settlement of Girichauka VDC which is located in Doti district of Nepal.

In-depth interviews were carried out with key informants residing in the district headquarters of Kailali, Kanchanpur, Dadeldhura, Doti and Bajhang districts. Primary data from the WSHP area were collected during a fieldvisit from 23 May to 21 June 2013. During this time, members of 50 households from each of Deura and Babina were interviewed. In addition, 20 key informants including 6 government officers, 5 teachers, 6 local political leaders, 2 members of a women's group and 1 district-level federation representative were interviewed using a snowball sampling method for identification. Purposive sampling was used to select the 50 households to be interviewed. This sampling technique allows the researcher to determine which groups in the population should be targeted and in what quantity, consistent with the objectives of the research. It also provides an opportunity for the researcher to obtain as wide a range of voices as possible (Bryman 2012). In our case, we decided to focus on the elderly, women and those representing the lowest caste group in the Hindu caste system, *dalits*, in order to cover the diverse perspectives of people representing different groups of population.

6. Impacts during the pre-implementation phase

By soliciting the views and experiences of people living in the WSHP area, our research revealed the psychological, development-related, socio-economic and environmental impacts experienced by people residing in the WSHP area during the pre-implementation phase of the project. This section explains how these impacts have affected people's lives.

6.1. Psychological impacts

People in the WSHP area have been experiencing years of stress from worrying about being displaced from their

current place of residence. This stress has been further exacerbated due to the long gestation period of the project. Such stress has contributed to a number of psychological impacts on the local people, and in particular feelings associated with uncertainty and fear.

The long gestation period of the project prompted an immense feeling of uncertainty among people in both Deura and Babina. This was exacerbated by WSHL's historic inability to satisfy the expectations of local people, and the more recent failure of the NIB and CWE to make decisions about their plans and implementation strategies. As a result, people face dilemmas when making decisions about even basic household matters, such as the construction of a toilet or bathroom in their house, planting trees or crops for long-term purposes, repairing houses and so on. A Babina resident expressed how the feeling of uncertainty is affecting his ability to make even minor decisions:

It's time to re-build the wall of my house. It's old and it will fall down soon. But I have not done the maintenance work, as it will be a waste of money if I have to leave this place soon. I am in a dilemma. (Local resident, Babina, interviewed 15 June, 2013)

Similarly, a female teacher from Deura made this comment:

It [the uncertainty about relocating] has been years now. We don't have confidence even to build a compound [fence or barrier to protect the area] around our land. I don't feel like planting trees on my land. I feel like it will be drowned soon, so why should I work hard? (Local resident, Deura, interviewed 4 June, 2013)

This feeling of uncertainty is not only affecting individuals making personal decisions, but also village level decision-making. In most parts of Nepal, villagers work together to solve communal problems. For instance, local people manage the forest areas, construct and maintain village roads and micro hydropower plants, and riverside embankments. The local people of the WSHP area stated that they are interested in solving their present-day problems, but they are in a dilemma about initiating community maintenance and development activities, as such initiatives will be worthless if the project construction begins and they have to leave. The hesitance of local people to conserve forests in both Deura and Babina is one example of this paralysis that can be clearly observed. There is a high level of deforestation in both areas and no one is paying attention to re-forestation. In another example, a Babina resident explained how they are affected by riverbank erosion, which is eroding their land each year. But, he said, residents don't know whether to construct embankments or to ignore the problem.

When people are forced to move from the place where they are comfortable and go to a new, unfamiliar place, the experience can be traumatic. The anticipation of being displaced from ancestral land and beginning life in an unfamiliar place threatens the mental well-being

of potential migrants (Hwang et al. 2007). Our research shows that feelings of fear are high among potential displacees from the WSHP area.

One of the most significant sources of fear stems from the fact that displacees are scheduled to be resettled to an area where the majority of the population is ethnically different from themselves. Many potential displacees have a deep fear that the state might be restructured on the basis of ethnicity and, as a result, the places where they are most likely to be resettled – Kailali, Kanchanpur and the Bardiya district of the lowland Terai region – will be declared a Tharuwan state. These districts are home to the *Tharus*, one of the Indigenous groups of Terai. Displacees fear that this might change the political power dynamics within the area and the *Tharus* people will become powerful and dominate them. Furthermore, local people have become sceptical from their past experiences. During the tenure of SMEC, it was decided that WSHP displacees would be resettled in Terai (WSHL 2008). At that time, Tharus living in Kailali and Kanchanpur revolted against this decision. They argued that the fertile lands of Terai, which is home to *Tharus*, are already turning into a concrete jungle due to the migration of 'hill people' especially after the eradication of malaria in the 1950s. At that time, the government encouraged the landless 'hill people' to migrate to the Terai region with the aim of increasing agriculture, and providing land. Later, with the urbanization of districts like Kailali and Kanchanpur, there was an increase in the migration of hill people for education and employment. This tendency was further intensified by the Maoist conflict as people found it safer to migrate to urban regions (Poertner et al. 2011).

The *Tharus* feel that the relocation of WSHP displacees in Terai would intensify this trend. They suggested that instead of resettling displacees of WSHP to the Terai, hill areas should be developed and displacees should be resettled there. In contrast, non-*Tharus* residents in Terai claimed that the reason behind the *Tharus*' opposition is their fear of becoming a minority in their own land. People from Deura are aware of the resistance by the *Tharus*, and they fear they might not be accepted by *Tharus* if relocated to their land.

A further dimension of the fear experienced by the residents of the WSHP area, is the fear that they may have cultural and economic clashes with the host communities residing in Terai. They know that the language, culture and lifestyle of people inhabiting the Terai are different from their own customs and lifestyle. A few respondents expressed a fear that the host community may restrict them from using the common property resources that they have access to in their current places of residence.

Moving to a place with a different climate and environmental conditions is another cause for fear among the potential displacees. The WSHP area lies in the hill region with altitudes between 700 and 4000 m, whereas Terai,

the potential place of resettlement, lies below 700 m and is mostly a plain. Weather and environmental conditions in these two areas vary drastically and displacees fear that they might not be able to adjust to the tropical climate of Terai. Some were also concerned about mosquitoes and different kinds of diseases that thrive in the Terai region due to the hot temperatures.

People in the WSHP area also expressed a fear of being apart from their relatives and communities. This fear was found to be higher in women than men, probably because women are less exposed to places other than their parental or in-laws' home. Among the women, the fear of leaving their current place of residence was stronger for the women who were heading-up the household in the absence of husbands. One of the female respondents in this category stated:

All my relatives are here. There is no male member in the house now. So I fear more. Here, even though I do not have my male living with me, I have relatives around. In a new place, what will happen? Who will help us if we will be resettled in different places? Who will be my neighbours? My husband comes home in 2–3 years and stays a few days. I have to live on my own with my small children. (Local resident, Deura, interviewed, 1 June, 2013)

Besides women, *Dalits*, the other marginal group residing in the project area, are also worried about their life after displacement. *Dalits* residing in Babina and Deura are landless or have less land in comparison to other caste groups. They are very anxious about the type of compensation they will receive. Further, most of the *Dalits* are dependent on traditional caste-based occupational relationships. In these types of relationships, upper caste groups rely on lower caste groups for specialist services, such as clothes-making, metalwork and shoe repairs. Similarly, lower caste groups tend to be paid for their work in kind rather than cash (Rai 2005). In Deura and Babina, being rural settlements, such practices were widespread. Hence, *Dalits* have a fear of losing their patrons, and therefore their livelihoods. Some of them also have an emotional attachment with the patrons since they have been living together in the same community for many years. This creates a fear of being apart from them.

As well as women and *Dalits*, the sense of vulnerability among elderly people living in the WSHP area was quite high. Literature suggests that the anticipation of moving to a new place is particularly distressing for older people (Danermark & Ekstrom 1990; Ponzetti 2003). Our research has confirmed this, and further confirms that place attachment among the elderly people is very strong, as many have lived in one place for their entire lives. In addition, imagining that the place they love the most will soon be under water is a disheartening proposition for them, and thus the elderly people in the WSHP area are also experiencing traumatic emotions.

The residents of the WSHP area are also concerned that their living expenses might increase after the displacement. Currently, they have been using common property resources available in the forest and rivers, such as wood, fruits, fodder, medicinal herbs, drinking water and fish, all free of cost. They are concerned that their expenses will increase if they have to purchase these products. Besides the fear of losing access to common resources and services, local people are fearful that they might be given land near the border with India where there has been unrest following land encroachment from the Indian side (Groves 2014). The potential displacees do not want become involved in these disputes by being relocated to a border area. Likewise, the local farmers are worried about the quality of land they will be allocated, and the shop owners are concerned about not getting space in marketplaces.

6.2. Development impact

In Deura and Babina, and as identified by Cernea (2000), a risk of impending displacement is that development initiatives become suspended for a long time. However, such delayed development can also be attributed to the 10-year Maoist armed conflict, which, as with other conflict-affected parts of the country, is one of the primary reasons for slow development (Bhattarai 2016). Conversely, a number of respondents claimed it was not political instability but rather the handing of the area over to the WSHP that was the main reason for the lack of development initiatives in the region. Relevant authorities, such as the government, NGOs and private sector, have all been reluctant to invest in the WSHP areas, believing that they will soon be submerged. One of the respondents from Deura expressed deep frustration about this:

No one wants to start a bank here. The Village Development Committee building is also not built. It is working from a rented house. Even the police station is in a rented house. No one wants to invest here. (Local resident, interviewed 3 June, 2013)

Supporting this view, a local leader of Deura and school teachers from both Deura and Babina claimed that the development budget allocated for the affected area was minimal in comparison to other VDCs of the districts in the project affected area. They explained how they had to fight to get a budget for the operation of schools. The only major infrastructure initiated in the area since the dam was proposed was the road from Dadeldhura, the district adjoining Terai region to Chainpur, headquarters of Bajhang district.

People living in the WSHP areas are themselves reluctant to invest in businesses, personal matters or community development initiatives. Local people are very reluctant to invest time or money, even for their own benefit. Businessmen in the area are disinclined to start any new ventures or to expand businesses in

their own areas. Instead, some local businessmen have joined others in migrating (albeit temporarily) to cities and investing their money there. Respondents from Babina stated that, if the area had not been handed over to WSHP, they would have expanded a small irrigation canal and constructed micro-hydropower to light their houses. Nevertheless, in recent years, some organizations have again started working in the WSHP area, and this has led to small positive changes. For instance, in Babina, the Finnish International Development Agency has worked to improve sanitation conditions. Sevak Nepal, an NGO operating in the Far-Western districts, has worked to maintain village trails. Similarly, the Poverty Alleviation Fund, a government-funded programme, is supporting *Dalit* communities of Deura to improve their economic conditions by promoting goat farming. The German International Cooperation Agency is providing infrastructure development through the maintenance of village trails and by constructing village roads.

6.3. Socio-economic and environmental impacts

Dam projects trigger socio-economic impacts on the lives of people dwelling in the project area at different phases of the project (Scudder 2006). In the case of the WSHP, socio-economic impacts on local people were observed before dam construction began. However, the impacts caused by the project during this pre-implementation stage are perhaps not as obvious as those experienced during the construction and operation phases of other dam projects (Pokharel 1985; Bisht 2009; Tilt et al. 2009).

The WSHP led to many negative social impacts being experienced by people. For example, a degree of division among the local people could be observed. Dwivedi (1997) suggested that social divisions begin from the initial phase of most displacement-induced projects as local people either accept or resist the project's implementation. In the case of WSHP, however, divisions among local people did not appear to be based on their acceptance of, or resistance to, the project, but were based on different perceptions of displacement arising from their residential status, i.e. whether they were: (1) a long-term, permanent resident of the area; (2) a part-time resident (local people who live in the affected area for some of the time and in Kathmandu, Dhangadi or other places at other times); or (3) a temporary or recently arrived resident.

Unlike other types of residents, the permanent residents were completely reliant on the land and the local natural resources for their livelihoods. Consequently, the permanent residents have been advocating for their rights through social and political activism. In contrast, the impacts on part-time residents (especially on their livelihoods) will likely be less, because they have already moved to other parts of the country. These people usually have some remaining land in the project area and in some cases this land may not be fully or effectively

utilized by them. This means that part-time residents may have more flexibility in negotiating their demands because whatever they obtain as compensation, either in cash or in the form of replacement land, will likely be of higher value to them than their properties in the project area. Thus, some part-time residents have been participating in the local activism, and others have not. Similarly, recently arrived residents would be less affected by displacement, as they likely retain connection with their places of origin. Some recently arrived residents said that they felt like outsiders and were reluctant to share their views with the more permanent residents during meetings. Nonetheless, recently arrived residents believed they should be treated equally and given adequate compensation when the WSHP is constructed.

There can be positive social impacts when local people are exposed to outsiders. In the last 20 years, many national and international researchers, consultants and activists have visited the project area. Initially, local people, especially disadvantaged groups such as women, *Dalits* and indigenous people, were hesitant to interact with outsiders. Over the years, however, local people including those in the vulnerable groups have started to attend public meetings and rallies, and to campaign for their rights. Although a gradual empowerment of marginal groups has occurred throughout the country over the last 25 years or so, particularly after the restoration of democracy, the WSHP and the international attention it has brought is clearly one of the contributors to change in the project area.

In terms of economic impacts, the price of land in the WSHP area increased after the announcement of the project. Local people raised the sale price of their land because of the expectation that they would obtain higher compensation from WSHP than the prior market price. In Deura, the price of land further increased following the construction of the Dadeldhura-Chainpur road. The road construction provided some economic opportunities for Deura, although the overall hesitation of organizations and local people to invest in development and economic activities slowed economic growth in the area.

Environmental impacts were thought to occur mostly during and after the construction of hydro projects (WSHL 2007). However, in the case of the WSHP, a major environmental effect has already been seen due to the negligence of local people to conserve the forest area. Over the past 20 years, the WSHP area has become extensively deforested, with little attention given to conserving the forest resources or to re-forestation, as would normally be the case. In the future, this may cause other major environmental impacts in the area, such as soil erosion and water pollution.

7. Factors that triggered or exacerbated impacts

7.1. The political context

Nepal's political situation, which is still unstable and unpredictable, has contributed to heightening the impact of the WSHP on local communities. The failure of the first Constituent Assembly in 2012 and subsequent political uncertainty has further lengthened the country's transition period. In the last two decades, Nepal has been through severe political upheavals and the people in the WSHP area will have been affected by that political situation along with all citizens. The political instability has affected the progress of the WSHP project and lengthened the gestation period. Indeed, some people from Deura and Babina believe the project will continue to be trapped in a gestation phase until Nepal's political environment becomes stable. They attributed the political situation to the lengthening of the period of uncertainty, which has further intensified the dilemmas they are facing in their lives.

7.2. Flow of information

The Constitution of Nepal guarantees the right to information as a fundamental right of citizens (GoN 2007). The WCD (2000) states that communities that will be affected by dam projects should be provided with ample information about the proposed project, in a language they understand, so that they can make informed decisions about the issues of concern. Limited information causes local scepticism about a project from its very inception (Forbes 1999). In the case of the WSHP, it was found that local communities received only limited information about the project and about the futures proposed for them after dam construction. Ratan Bhandari, one of the local activists in the WSHP area, claimed that most local people were not aware of the project until SMEC came to conduct a survey. Initially local residents were given a few pages of paper explaining the project, which was considered inadequate, especially given the high levels of illiteracy. Later, SMEC established a number of information centres in project-affected areas to address the concerns of local people and build public trust. However, this effort came too late to gain significant public support.

The Human Development Report 2014 (GoN and UNDP 2014) reveals that large numbers of residents in the project area are illiterate (adult illiteracy in Bajhang is 56% of the population, Doti 52%, Baitadi 45%, and Dadeldura 43%). Between being illiterate and residing in a remote area, most local people have received very limited information about the project, even now. During field research, it became clear that most of the local

people interviewed were unaware of the current status of the project. Apart from the better educated, most people only knew that the project had been handed over to CTGC. They did not know about the new terms and conditions between the GoN and CTGC.

7.3. Lack of meaningful participation of local people during the planning phase

One prominent explanation for heightened impacts on local communities during the pre-implementation phase was the lack of meaningful and proactive consultation with local people about the project. Those interviewed reported that only VDC officials and Ward Presidents were consulted by project staff, government officials and political leaders – not people who did not hold any official or political position. Local people described how they mostly listened to the talks and speeches of project staff, VDC representatives, and local leaders. One local resident shared his experiences in the following way:

A few times political leaders ... came from Kathmandu during the SMEC tenure. They came, they gave speeches, and left. They did not talk to us ... A few government employees also came. They also came, they gave speeches, and left. They also did not talk to us. They only talked to a few local leaders. The project staff from Kathmandu and Kailai also came, and they also only talked to local leaders. (Local resident, Deura, interviewed, 29 May, 2013)

Such experiences have made local people feel vulnerable. They feel that their fate is in other people's hands and that they are not valued as stakeholders. Ratan Bhandari and other key informants also pointed out that local people were not well consulted during the EIA surveys of the WSHP project.

7.4. Uncertainty about project construction

Neither local people nor the concerned authorities are confident about the construction of the WSHP. Local people said how they feel their life is trapped. They cannot stop thinking about the project, but neither do they have confidence that the project is going to be built soon. Due to this dilemma, they are quite reluctant to talk about the project with outsiders. They have many grievances with the concerned authorities and are eagerly waiting for answers to questions, such as whether the project will be built or not, when it will be built, where they will be resettled and what their future will be like.

7.5. Absence of government authorities in the project sites

Local people perceive that they have been overlooked by the government. They also feel vulnerable due to the absence of government authorities in the area who could provide timely and authoritative information and news

about the project. According to key informants, during the last 20 years of the pre-implementation phase of the WSHP, officials of the Ministry of Electricity visited the area only two or three times. Local people have bitter memories of how they had to protest and demand that the relevant government authorities visit their area and give them information on the plans regarding the WSHP and the compensation and resettlement mechanisms they were planning. As a result, feelings of being neglected are very high among the locals. They felt that they should not have to demand that the government come and talk to them, and that a genuinely concerned government would come on their own initiative and provide them with assurances regarding the future. This point made by local people suggests that the government has neglected its responsibilities under the Local Self Government Act 1999 that emphasizes the participation of local people at all stages of a development project (GoN 1999).

8. Analysis and recommendations

Our research revealed how the potential displacees of the WSHP experienced impacts from the project, long before its implementation. Adverse impacts became intensified due to the long gestation period of the project. Diverse groups of people residing in the project area have been trying to anticipate what their life might be like after being displaced from their current place of residence. Many do not envisage it as being brighter than their current life, mainly because they believe the fears they live with at present will come true. The need to dispel or alleviate local people's fears should be a policy priority and should be included in the discussions to formulate a resettlement policy for this particular hydro-power project, and to formulate a national resettlement policy for the whole country.

People living in the same project area often come from different backgrounds and circumstances. As a result, the consequences of displacement can be quite different for each sub-group. Each sub-group can react differently during the implementation and post-implementation phases of any development project (Scudder 1993; Gutman 1994; Vanclay et al. 2015). Our research has confirmed that diverse groups of people living in the same project area react differently during the pre-implementation phase. Their concerns are shaped and guided by their different backgrounds and the varied circumstances they experienced during the pre-implementation phase of the project, as well as their fear of living a deprived life after displacement.

Clearly, people with different residential statuses have reacted differently to the potential displacement. Among the three categories of residents we identified, the permanent residents were found to be most concerned about their life after displacement due to their

strong economic, social, cultural and religious attachment with their current location. Permanent residents were also more concerned about compensation packages and resettlement and rehabilitation provisions, and thus they were highly involved in local-level activism on WSHP related issues. This indicates that policy-makers need to pay greater attention to addressing the needs of permanent residents when providing compensation and other benefit packages.

This research has found that different occupational groups living in the project areas also have different concerns. For example, the major concern of farmers residing in the project area was obtaining quality land after displacement, whereas the major concern of businesspeople was acquiring space in a marketplace. The most vulnerable groups, such as women and *Dalits*, were found to be highly concerned about the composition of the communities where they will be resettling after displacement. They fear not having a good support system in a new place, so wish to reside with the same community of people with whom they are currently living after displacement. Most of the elderly people simply do not want to move from their ancestral land. Policy-makers need to be sensitive to these dynamics when addressing the issues and concerns of people who are going to be displaced when construction of the project begins. Given the complexity of the distribution and character of social impacts, it is pertinent to reflect on the observation by Götzmann et al. (2016, 20) that SIA methods 'can sometimes result in those individuals, groups or organizations who have more power to influence, or a "louder" voice, to dominate stakeholder consultation ... and consequently that their interests have undue influence in impact mitigation and management decisions.' They promote a human rights based approach (HRBA) because it focuses on the rights of the individual, and 'hearing those who may be most marginalized or vulnerable'. If a resettlement plan is to be developed for WSHP, NGOs and activists could contribute by insisting such a HRBA approach be applied to any assessment of the implications of that plan.

The social, environmental and economic impacts of large-scale hydropower projects remain high during and after the construction of the project (WCD 2000). Our research suggests that while social, economic and environmental impacts are less significant during the pre-implementation phase of the project, the development-related and psychological impacts are higher in this phase than the following phases. Feelings of uncertainty have affected the day-to-day decision-making processes of households as well as the entire community residing in the project area. The fear of being displaced was found to be higher among vulnerable groups like women, *Dalits*, and elderly people.

The inadequate flow of information, lack of meaningful participation of local people, a noted absence of government authorities, and uncertainties surrounding

the eventuality of construction suggest that concerned authorities have not adequately addressed the concerns and needs of the potential displacees. There is evidence that local people have been excluded from project related decision-making processes even before the project is implemented. WCD (2000) states that equity, efficiency, participatory decision-making, sustainability and accountability are the five core values that are crucial in creating the most favourable development outcomes. However, in the case of the WSHP, each one of these principles has been violated by the authorities in the pre-implementation phase of the project.

The allocation of only a limited budget and the failure to understand and cater for the needs of potential displacees has revealed that the concerned authorities have been and continue to be unjust in their treatment of the potential displacees. The feeling of being discriminated against and neglected is very profound among the potential displacees, which is likely to fuel conflict between the local people and the concerned authorities during the actual implementation of the project.

9. Conclusion

This review of the WSHP in Nepal suggests that the WSHP has impoverished the lives of the people in the affected area even prior to its implementation. Accordingly, governments and project developers should give attention to the likely impacts that arise from the time a project is announced, and be prepared with plans to minimize the impacts that may occur at this stage. Furthermore, we suggest that governments must come up with interim development plans for areas affected by long gestation periods. In addition, measures to minimize the impacts that may occur during the pre-implementation phase should be incorporated into the involuntary displacement policies and procedures of government and project proponents and investors. This research also indicates that scholars and practitioners should further investigate the impacts that can be experienced by local people in the pre-implementation phase of infrastructure projects. Such research would fill the existing gap in the impact assessment literature.

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